SOC 2 Type II Report Summary

Service organization: Kestrel Payroll Cloud (fictional).

Independent auditor: Halvorsen & Pike LLP (fictional firm).

Review period: 1 June 2025 to 31 May 2026. Trust services criteria: Security, Availability, Confidentiality, Privacy.

Auditor's opinion (summary)

In our opinion, controls were suitably designed and operated effectively throughout the review period. No exceptions were noted.

Access, encryption, awareness and development

Hardware-key MFA is required for all administrative access; access is reviewed quarterly. No exceptions noted.

Data is encrypted at rest with AES-256 and in transit with TLS 1.2 or higher. No exceptions noted.

Staff complete annual security training and quarterly phishing exercises. No exceptions noted.

Every change requires code review and passes automated security scanning. No exceptions noted.

Incident response and vulnerability management

The incident response plan was tested in May 2026; customers are notified within 72 hours. No exceptions noted.

Weekly authenticated vulnerability scans; annual independent penetration test (April 2026); critical findings fixed within 15 days. No exceptions noted.

Retention, logging, continuity, subprocessors and privacy

Retention follows a documented schedule; deletion requests are completed within 30 days. No exceptions noted.

Security logs are centralized, alerted on and kept for one year. No exceptions noted.

Business continuity is tested annually; the last failover test (February 2026) met the 4-hour RTO. No exceptions noted.

Subprocessors are assessed annually. A privacy notice is published and requests are tracked. No exceptions noted.